

MULTIFAMILY & EVICTION RECOVERY · REFERENCE

Post-Eviction Recovery

Turning unpaid rent, move-out damages and lease-break fees from a write-off back into recovered revenue

Getting possession of the unit back is only half the loss. When a tenant is evicted or skips, the money they owe — unpaid rent, damage beyond the deposit, and the fees the lease entitles you to — walks out the door with them. This reference explains what is actually recoverable after move-out, why these balances are the hardest a property team collects, and the skip-tracing and credit-reporting mechanics that turn a stale ledger balance back into cash.

Executive summary

- The writ restores the unit; it does not recover the money. Unpaid rent, damages and fees remain a separate, collectible debt.
- Professional skip tracing locates **70–80%** of former tenants who move without a forwarding address — the first requirement for any recovery.
- Credit reporting is the leverage: an unpaid-rent tradeline can lower a score by **50–100+ points**, stays on file up to **seven years**, and — through Experian RentBureau — follows the tenant to their next lease application.
- Contingency pricing means \$0 upfront: multifamily and eviction placements typically run 20–50%, set by placement frequency, volume and balance size.

1. What you can recover after move-out

A move-out balance is rarely just back rent. On a properly documented ledger, the recoverable total usually includes several categories the lease already entitles you to:

- **Unpaid rent arrears** — rent owed through the move-out or lease-end date.
- **Property damage beyond the deposit** — repair costs exceeding the security deposit, itemized on the move-out statement.
- **Broken-lease & holdover fees** — early-termination charges and holdover rent where the lease provides for them.
- **Utility chargebacks** — unpaid utilities billed back to the resident.
- **Late fees & concessions clawback** — contractual late fees and forfeited move-in concessions.
- **Court costs & agreed legal fees** — where awarded or provided for in the lease.

The more complete the file — signed lease, itemized ledger, move-out inspection with photos, and the deposit accounting — the faster and more fully the balance is recovered.

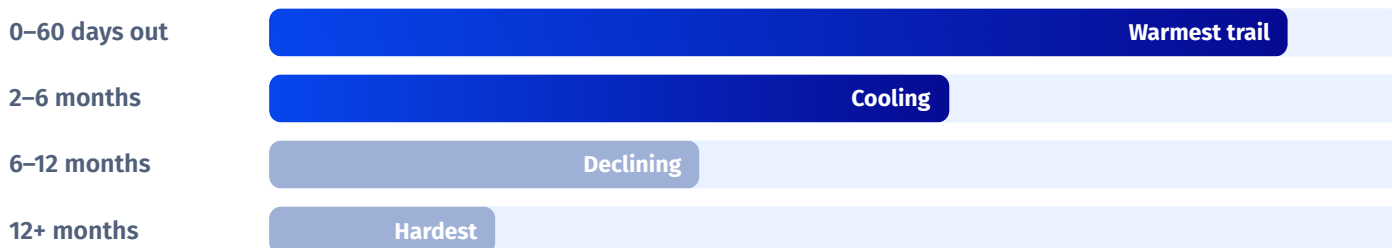
2. Why post-eviction balances are the hardest to collect

- **The tenant is gone.** By definition there is no current address, and the phone on file is often disconnected.
- **Ties are cut.** A former resident has no ongoing relationship with the community and little immediate incentive to pay.
- **Records degrade.** The move-out documentation that makes the balance defensible is strongest right after move-out and weakens with time.
- **In-house capacity runs out.** On-site teams are focused on occupancy, not chasing departed residents across data sources.

Industry recovery reflects that difficulty: the National Apartment Association reports multifamily debt-collection recovery of roughly **15–20% nationally**, dropping below 10% in lower-income segments — which is exactly why placement timing, skip-tracing quality and credit-reporting leverage matter so much.

3. Recovery falls as the balance ages

The same age curve that governs every receivable is even steeper for departed tenants, because contact data goes stale the fastest here. A balance placed within weeks of move-out — while the trail is warm and the tenant is re-establishing utilities, employment and a new address — recovers materially more than one placed a year later.



Illustrative and relative — actual recovery varies by balance, documentation and how quickly the account is placed. Southwest Recovery gives an honest, age-based read on a representative sample before any accounts are worked.

4. Skip tracing: finding the tenant who left no address

Recovery is impossible until you reach the right party, and a departed tenant rarely leaves a forwarding address. Professional skip tracing combines credit-header data, public records and multiple commercial databases to locate former residents — achieving **70–80% location success** where an on-site team, working with a stale application, would stall. Locating is not the same as collecting, but it is the prerequisite for everything that follows. On every placement, skip tracing is standard — not a billable add-on.

5. Credit reporting: the leverage that makes tenants pay

For a departed tenant, the single strongest motivator is the effect on their ability to rent again. Reported correctly, an unpaid-rent balance:

- Can lower the former tenant's credit score by **50–100 points or more**.
- Remains on the credit file for up to **seven years**.
- Through **Experian RentBureau**, appears on the tenant-screening report the *next* landlord pulls — so the debt literally follows them to their next application.

SWRS reports qualifying accounts to **Equifax and Experian, plus Experian RentBureau** — the rental-specific database most landlords cannot furnish to themselves. (Its mechanics are covered in the companion paper, *The RentBureau Advantage*.) The reporting itself, done compliantly, is often what converts a “never-going-to-pay” balance into a negotiated settlement.

6. The recovery process, step by step

- **Placement.** Upload the ledger export (AppFolio CSV/Excel) with the lease and move-out documentation; outreach begins within 24–48 hours.
- **Skip tracing & verification.** Locate the former tenant's current address, phone and employment across multiple data sources.
- **Compliant contact & negotiation.** Professional multi-channel outreach and workable payment arrangements, all within FDCPA / Reg F rules.
- **Credit reporting.** Following validation and the dispute window, qualifying balances are furnished to Equifax, Experian and RentBureau.
- **Legal escalation.** For balances that justify it, suit and judgment enforcement, reviewed with you.

7. Compliance: residential debt is consumer debt

Unlike commercial balances, residential tenant debt *is* consumer debt, so third-party recovery is governed by the FDCPA and its Regulation F. A reputable agency builds that into every account:

- **Validation notice** with the debt amount, creditor name and the consumer's rights, sent within five days of initial contact.
- **Call-frequency limits** — no more than seven call attempts per debt within a seven-day period, and no call within seven days after speaking with the consumer.
- **A 30-day dispute window** honored before verified balances are reported.

Landlords collecting their own debt are generally “original creditors” with fewer restrictions — but the moment recovery is outsourced, Reg F applies, and doing it wrong creates liability. Using a compliant specialist protects the owner as much as it recovers the balance.

Key takeaways

- The eviction gets the unit back; the debt is a separate recovery worth pursuing.
- Place fast — skip-trace success and recovery both fall sharply as the trail cools.
- Skip tracing locates 70–80% of departed tenants; credit reporting (incl. RentBureau) is the leverage that converts location into payment.
- Multifamily/eviction contingency runs 20–50%, \$0 upfront — no recovery, no fee.
- Residential debt is consumer debt; a Reg F-compliant third party protects you from liability.

Getting started in three steps

1. Export your delinquency ledger from AppFolio and flag every move-out balance.
2. Send us a representative sample for an honest, age-based read and a firm contingency rate.
3. Place move-out balances on a standing schedule so none goes cold before it's worked.

Frequently asked questions

The tenant was evicted — can we still collect?

Yes. The eviction returns the unit; the unpaid rent, damages and fees are a separate, collectible debt that survives the eviction.

They left no forwarding address — now what?

That's the norm, and it's exactly what skip tracing is for — we locate 70–80% of departed tenants across multiple data sources before working the balance.

Is it worth placing smaller balances?

On pure contingency there's no upfront cost, credit reporting adds leverage even on modest balances, and any recovery beats a write-off.

Could pursuing these accounts create liability for us?

Handled by a Reg F-compliant third party, no — the liability risk comes from aggressive or undocumented self-collection, not from a compliant specialist.

Quick reference — post-eviction recovery

- **Recoverable:** rent arrears, damage above deposit, broken-lease/holdover fees, utility chargebacks, late fees, court costs.
- **Skip tracing:** locates ~70–80% of departed tenants.
- **Credit impact:** ~50–100+ point drop, up to 7 years, follows the tenant via RentBureau.
- **Reporting:** Equifax + Experian + Experian RentBureau.
- **Fee:** 20–50% contingency, \$0 upfront.
- **Compliance:** FDCPA / Reg F (5-day validation, 7-in-7 calls, 30-day dispute).

About Southwest Recovery Services

Southwest Recovery Services is a property-management and multifamily recovery specialist working post-eviction and unpaid-rent balances on pure contingency since 2004 — with a strong Texas footprint and the FCRA-approved credit-reporting standing most landlords can't furnish themselves.

AT A GLANCE

Recovering since	2004 — two decades of receivables recovery.
Track record	\$975M+ in receivables placed; \$76M+ recovered for clients; 800,000+ accounts worked.
Texas footprint	12 offices across 7 states — six in Texas (Addison HQ, Austin, Dallas, Houston, Midland, San Antonio); recovery nationwide.
Credit reporting	Equifax and Experian, plus Experian RentBureau — the rental-specific value-add, furnished at no additional charge.
Model & compliance	Pure contingency (\$0 upfront); FDCPA / Reg F compliant on residential accounts; ACA International member.

Turn your move-out ledger back into revenue

Send us a representative sample of your post-eviction balances and we'll give you an honest read on what's recoverable — and put a contingency rate against it.

Call **(866) 551-4684** · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. Recovery figures are illustrative and vary by portfolio; statutes and court timelines vary by jurisdiction — confirm with counsel. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington.